Question 1

You are the audit manager on the audit of the financial statements of Kitchen Equipment Limited (Kitchen) for the year ended 30 June 20X4. Kitchen manufactures small electrical items for use in the home and distributes them for sale through department stores and other shopping outlets throughout the UK.

During the planning stage of the audit, you have obtained the following information:

A member of the finance team at Kitchen has recently fallen ill and gone on leave. The client does not have experienced staff who are able to fulfil the role and has asked if a qualified audit senior of the firm can be seconded to the client for 3 months.

From a review of the correspondence files, you note that the audit engagement partner and the finance director of Kitchen have known each other socially for many years and went on holiday together last summer with their families. As a result of this friendship, the partner has not yet spoken to the client about the fees for last year's audit, 20% of which is still outstanding.

The audit engagement partner's son has just accepted a job offer from Kitchen as a sales manager, a role that would entitle him to shares in Kitchen as part of his remuneration package.

Kitchen has suggested that the external audit fee should be renegotiated, with at least 35% of the fee being based on the profit after income taxes of the company, as they feel that this will align the interests of Kitchen and the firm.

The directors are planning to list Kitchen on a stock exchange and have asked if the engagement partner can attend the meetings with potential investors.

Question:

Evaluate the factors which may threaten the independence of Kitchen's audit of the financial statements for the year ending 31 December 20X4. Identify any ethical threats, including the potential implications, and recommend appropriate safeguards to mitigate each threat.

(30 marks)

Question 2

You are an audit manager at Welsh and Harding LLP, a firm of chartered accountants and registered auditors. You are dealing with the following ethical matters raised at recent management meetings, all of which relate to audit clients of your firm.

a) Busco plc is a listed company and its audit for the year ending 30 June 20X5 is about to commence. During this year, the company established a pension plan for its employees, and this year end the company will be recognising for the first time a material pension deficit on the statement of financial position, in accordance with IAS 19 Employee Benefits. The finance director of Busco Ltd has contacted the audit engagement partner, asking if your firm can provide a valuation service in respect of the amount recognised.

b) The audit of Cornwall Beauty Limited for the year ending 30 June 20X5 has commenced. The finance director has offered each audit team member goods of their choice up to a retail value of £650 if the audit is completed two weeks before the agreed deadline.

c) Hops Max plc (Hops) is an established company listed on the London Stock Exchange. In addition to external audit, your firm provides recurring non-audit services that are permitted under the FRC's Ethical Standard. Your firm's total annual fee income in 20X5 is expected to be £20 million.

   Your firm expects to earn the following fees from Hops during 20X5:
   Audit services £845,000
   Non-audit services £590,500

Question:

Evaluate the ethical issues raised in respect of the following clients and explain how each threat should be managed.

a) Busco plc
b) Cornwall Beauty Limited
c) Hops Max plc

(15 marks)